

Country deep dive on the well-being economy

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Scotland



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Abstract

The WHO Regional Office for Europe's series of deep dives are part of the technical documentation supporting the WHO European Regional High-level Forum on Health in the Well-being Economy (1–2 March 2023). Each publication in the series is developed by combining academic and grey literature with narratives from semi-structured interviews conducted with key stakeholders in government and public health institutions, with the aim to demonstrate concrete country experiences in advancing and implementing well-being economies. This deep dive focuses on Scotland's experience of building a well-being economy – one of the longest-running national experiments in this field. Partly driven by a commitment to tackling poverty and health inequality, Scotland has developed a distinctive approach combining people-powered and outcomes-based governance, place-based tools and a prevention-focused public health system. While Scotland's experience is not representative or all-encompassing, countries considering or advancing a shift to a well-being economy will find in its journey both practical inspiration and honest lessons about what it takes to translate well-being ambitions into lasting change.

Keywords

Scotland
Social determinants of health
Health inequities
Well-being economy
Sustainable development
Quality of life
Child poverty

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Abbreviations

CHES	Collaboration for Health Equity in Scotland
COSLA	Convention of Scottish Local Authorities
COVID-19	coronavirus disease
CPP	Community Planning Partnership
CWB	community wealth building
GDP	gross domestic product
JTC	Just Transition Commission
NHS	National Health Service
NPF	National Performance Framework
SDG	Sustainable Development Goal
SNP	Scottish National Party
WEAll Scotland	Wellbeing Economy Alliance Scotland
WEGo	Wellbeing Economy Governments

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Background

The WHO Regional Office for Europe is developing a series of deep dives capturing countries' experiences in shifting to well-being economies in the WHO European Region. The series started off with Finland, Iceland, Scotland and Wales, which have committed to becoming well-being economies and are leading this agenda at European and global levels.

The findings from these deep dives contributed to the technical documentation supporting the WHO European Regional High-Level Forum on Health in the Well-being Economy (1–2 March 2023).

About the deep dives series

The Regional Office's deep dives series shares country experiences in advancing and implementing well-being economies. It aims to:

- document and showcase new policies and approaches supporting countries in their shift to well-being economies;
- provide a rapid stocktake on the evidence for policy;
- support national-level discussions and foster cross-sector policy dialogues;
- support international exchange, learning and collaboration; and
- provide evidence for advocacy-building.

Individual country deep dives are developed by combining academic and grey literature with narratives from semi-structured interviews conducted with key stakeholders in government and public health institutions. While these experiences are not representative or all-encompassing, countries that are considering or in the process of shifting to a well-being economy can look at these key findings and take-home policy messages for inspiration.

Each country deep dive showcases:

- drivers of the country's shift towards a well-being economy;
- key concepts and strategies characterizing the well-being economy approach at a national level;
- governance structures and mechanisms supporting the implementation of reforms;
- monitoring and metrics designed to measure results and successes;
- the specific role played by (public) health in the well-being economy; and
- enablers and barriers for advancing and implementing the well-being economy.

The target audience of the deep dives includes leaders from the health sector, policy-makers and stakeholders from the development and economic sectors – both those who are newly acquainted with the well-being economy approach and those from champion countries who want to advance this agenda at the European level.

About this deep dive

This deep dive is a policy narrative designed to highlight inspiring journeys towards a well-being economy that practitioners and policy-makers in other countries can learn from. As such, the desk review developed to inform the deep dive had an important focus on government documents which explicitly describe the official narrative and aims of policy initiatives aligned with well-being economy principles.

Each edition in the series has its own specific framing: for Scotland, the deep dive has a particular focus on people-powered approaches to social change and the commitment to tackling poverty – especially child poverty – as a main concern in the background of the well-being economy agenda. The case studies included are selected as illustrations that can be inspiring and relevant to a broad well-being economy agenda, even if they may not

always have been labelled explicitly as well-being economy policies. This responds to the view that delivering a well-being economy does not only require realigning the economy, to make it more democratic and to balance unequal power dynamics in economic production – as important as this is – but it also relies on equitable public service delivery and deep democratic and community participation in public affairs.

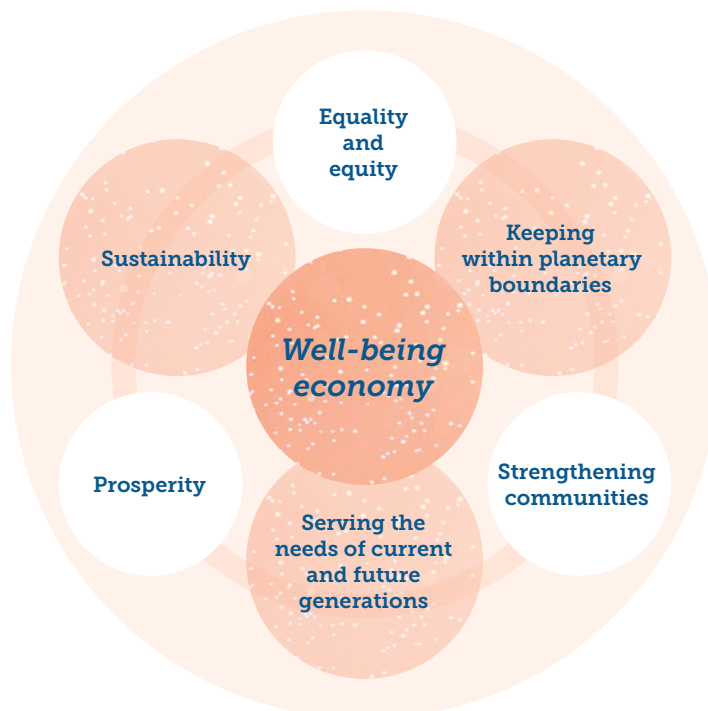
What is a well-being economy?

A well-being economy is an economy designed to serve people and the planet, not the other way around. Rather than treating economic growth as an end in itself, a well-being economy puts human and planetary needs at the centre of economic activity, ensuring these needs are equally met by default (1).

The WHO Regional Office for Europe operationalizes the well-being economy concept through four interlocking well-being capitals – human, social, economic and planetary – which together constitute the foundations for healthy, fairer and prosperous societies (2). These capitals encompass assets such as trust, social cohesion, participation, environmental sustainability and quality employment, all of which are mutually reinforcing: investment in one generates co-benefits across the others (2).

Findings from the deep dive summary on Finland, Iceland, Scotland and Wales show that countries implement and advance well-being economies differently, yet all strive to put people at the heart of decision-making processes and share the goal of well-being – to create prosperous, sustainable and fair societies for current and future generations (3).

Fig. A. Common elements framing the well-being economy approach in Finland, Iceland, Scotland and Wales.



Key findings

The following are the key findings from the review of Scotland's approach to the well-being economy.

Drivers of Scotland's shift towards a well-being economy

- **Poverty and health inequality as structural concerns.** Scotland's journey towards a well-being economy has happened against the background of a persistent structural crisis of poverty and health inequality. Despite being part of one of the world's wealthiest nations, Scotland has the lowest life expectancy in western Europe and the widest social gradient in healthy life expectancy among comparable countries, as well as some of the most entrenched place-based inequalities in Europe. These conditions – rooted in industrial decline, insufficient investment in deprived communities and the disproportionate impact of United Kingdom-wide austerity policies after 2010 – contributed to the political urgency and the policy rationale for a different economic approach.
- **Devolution as both constraint and catalyst.** Scotland's position as a devolved nation within the United Kingdom has been a defining condition of its well-being economy agenda. The Scottish Parliament, restored in 1999, holds responsibility for health, education, housing, justice and social care and has only limited powers over welfare and taxation. This constitutional arrangement has simultaneously constrained Scotland's fiscal capacity and created political space for experimentation.
- **A distinctive political culture.** A long-standing political culture that emphasizes social solidarity, collective responsibility and a role for government in ensuring the conditions for a decent life has made Scotland receptive to well-being economy ideas. This culture predates the formal well-being economy agenda and has provided continuity, particularly around the priority of tackling child poverty.

- **International leadership and Wellbeing Economy Governments membership.** Scotland played a leading role in founding the Wellbeing Economy Governments (WEGo) partnership alongside Iceland and New Zealand in 2018. International engagement has reinforced domestic ambitions, legitimized alternative economic thinking in policy discourse and strengthened Scotland's position as a pioneer in this field at the global level. WEGo membership has also functioned as an ongoing enabler – providing a peer-learning environment and sustaining political commitment to the well-being economy agenda across successive changes of government.

Key features of the Scotland's well-being economy approach

- **Outcomes-based governance.** At the core of Scotland's approach is the National Performance Framework (NPF), introduced in 2007 and progressively strengthened and oriented towards a well-being economy. The NPF articulates a shared national purpose through a set of National Outcomes and is intended to guide political decision-making, strategic planning and resource allocation across Scotland's public sector. A proposed revision removes the reference to economic growth and focuses the framework's purpose entirely on the well-being of current and future generations. Among other purposes, the NPF is an instrument for redefining what economic success means.
- **Place-based and community-centred implementation.** Scotland has developed a suite of approaches that incorporate well-being economy principles in local economies: community wealth building (CWB), participatory budgeting, Community Planning Partnerships (CPPs) and inclusive and democratic business models. These approaches share a common logic – redirecting economic activity towards local places, giving communities a meaningful role in shaping priorities and using the assets of large anchor



institutions (hospitals, universities, councils) to generate local wealth. CWB was formally adopted in the 2020–2021 Programme for Government and enshrined in the Community Wealth Building (Scotland) Bill (2026).

- **Child poverty as a central test.** Scotland's well-being economy is strongly linked to an explicit commitment to ending child poverty. The Child Poverty (Scotland) Act 2017 sets statutory targets requiring that fewer than 10% of children live in relative poverty by 2030. The Scottish Child Payment – a direct cash transfer to low-income families – will have kept an estimated 40 000 children out of relative poverty in 2025–2026. Child poverty is thus not a background concern, but a central test against which Scotland measures its progress.
- **Participation and lived experience.** Scotland has a well-developed institutional commitment to incorporating the voices of people with lived experience of poverty into policy processes – not as a one-off exercise, but as a frequent governance mechanism. Citizens' Assemblies, Poverty Truth Commissions, the Poverty and Inequality Commission's experts by experience panel and the work of the Poverty Alliance represent a distinctive approach to democratic legitimacy in which those most affected by policy choices actively shape them.
- **Health as a driver and anchor institution.** Scotland's health sector occupies a dual role within the well-being economy: National Health Service Scotland, as one of the country's largest employers and procurers, functions as an anchor economic institution with significant capacity to direct spending, employment and land use towards community benefit; while Public Health Scotland, with its cross-sector mandate and joint accountability to government and local authorities, operates as an institutional advocate and systems actor. The Population Health Framework (2025) gives the most current expression to this whole-systems understanding of health, recognizing

that health outcomes are shaped by social and economic conditions well beyond the clinical system.

Governance structures and mechanisms

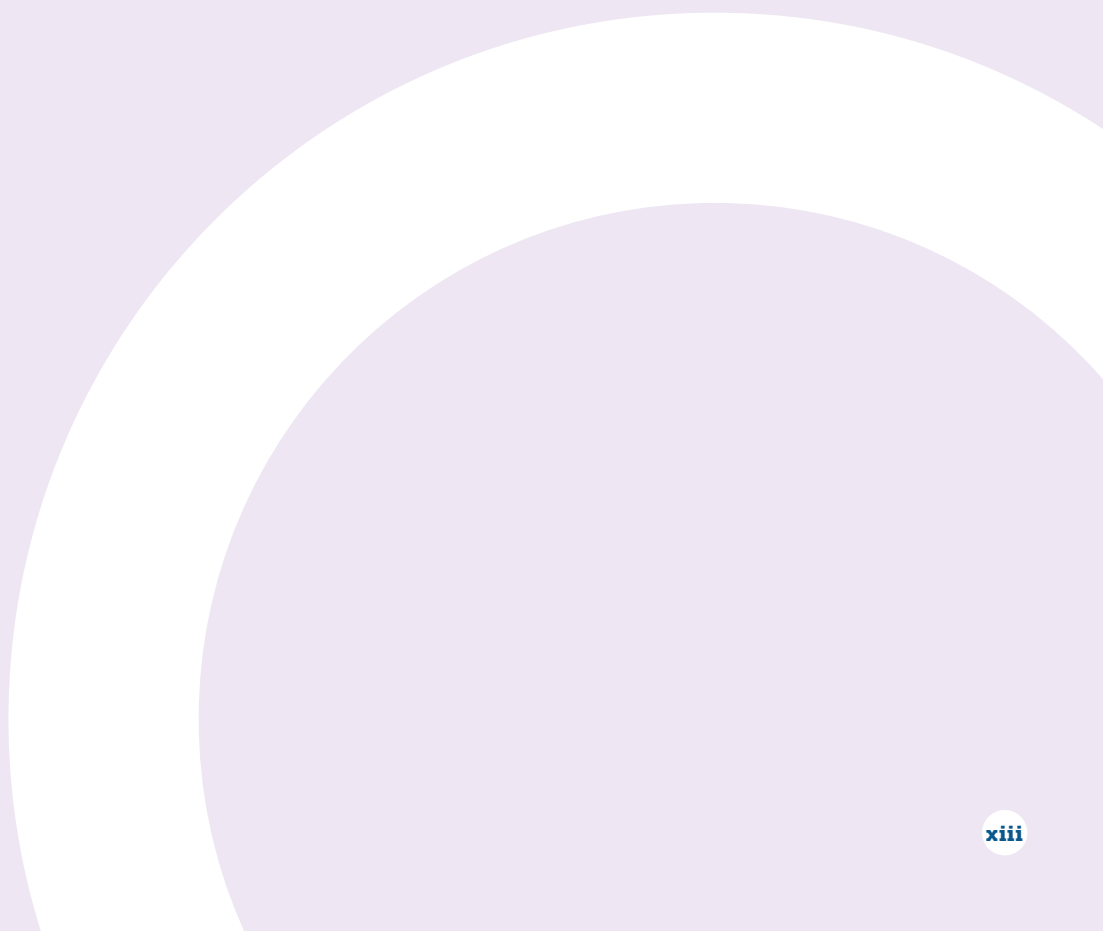
- **Statutory but non-binding.** The NPF is underpinned by statutory provisions requiring the Scottish Government to review the National Outcomes every five years and report progress. However, public bodies are required only to "have regard" for National Outcomes – there are no binding delivery obligations or formal sanctions for non-compliance. This reflects a deliberate reliance on soft governance, cultural change and collective ownership rather than legal mandate.
- **CPPs as local delivery vehicles.** CPPs bring together all relevant local partners – councils, National Health Service (NHS) boards, police, fire services, communities and businesses – to set local priorities and implement Local Outcomes Improvement Plans. CPPs are a statutory requirement under the Community Empowerment (Scotland) Act 2015.
- **Advisory and scrutiny ecosystem.** The Wellbeing Economy Expert Advisory Group, a cross-party parliamentary group, as well as the Poverty and Inequality Commission, form part of a broader ecosystem of advisory, scrutiny and coordinating bodies that support accountability and policy coherence, while stopping short of enforcement.
- **Acknowledged implementation gap.** The Inquiry into proposed National Outcomes identified a significant "implementation gap": the NPF has not consistently translated into budget decisions, public service design or local delivery. The Auditor General and the Accounts Commission have called for new cross-sectoral performance measurement systems capable of holding public bodies accountable for well-being outcomes.

Role of (public) health in the development of the well-being economy agenda

- **Public Health Scotland as a cross-sector bridge.** Public Health Scotland, established in 2020, operates as a special NHS Health Board with joint accountability to both the Scottish Government and the Convention of Scottish Local Authorities. This dual accountability positions Scotland's national public health institution as a bridge between central and local government – enabling it to act as a cross-sector convenor and systems actor.
- **Health as an anchor economic institution.** Under the Community Wealth Building (Scotland) Bill, health boards are designated as “relevant public bodies” required to develop CWB action plans, building up on an existing programme of work to develop the role of NHS boards as anchor institutions. Scotland's NHS employs approximately 160 000 people and is one of the largest purchasers of goods and services in the country, with significant potential to redirect procurement, employment and land use practices towards community benefit.
- **Prevention as economic logic.** Scotland has developed a compelling economic argument for prevention: investment in upstream social determinants reduces “failure demand” – the cost of public services required to respond to harms that could have been avoided. Analysis of Scotland's health-care system found that the state spends approximately £875 million annually on services required because the health-care system has failed, in addition to the £942 million spent on delivering the system itself.

Monitoring and measuring progress

- **NPF and Wellbeing Economy Monitor.** The NPF tracks progress through national indicators, complemented since 2025 by the Wellbeing Economy Monitor, which uses the Four Capitals approach to assess Scotland's progress against the dimensions of a well-being economy. The Monitor enables both national-level and local authority-level comparisons.
- **Data gaps and limitations.** As of March 2024, 17 of the 81 national indicators lacked sufficient data. Progress on the remaining indicators has been uneven, with insufficient disaggregation to reveal equity dimensions. Scotland has acknowledged this as a gap requiring systematic investment in data infrastructure.



Key policy messages from the Scottish experience¹

Drivers and foundations

- **Structural inequality as a main concern.** A persistent crisis of poverty, inequality and stalled life expectancy is a fundamental concern for politicians and civil society organizations.
- **Devolution as context: working within constitutional constraints.** Unable to address root causes of poor health and inequalities through macroeconomic tools, Scotland has been open to innovation in public service delivery and civic participation.

What Scotland offers other countries to learn from

- **Outcomes-based governance as a cultural shift.** Scotland's NPF has established a whole-of-society vision of well-being.
- **Child poverty reduction as a concrete, enforceable commitment.** Scotland has made ending child poverty a statutory obligation, backed by concrete targets, annual reporting requirements and direct cash transfers.
- **A practical toolkit for place-based well-being implementation.** CWB, CPPs, participatory budgeting and the use of anchor institutions represent a coherent and replicable suite of tools that can be used to embed well-being economy principles in local economies.
- **Lived experience as a governance principle.** Scotland's incorporation of lived experience – through Poverty Truth Commissions, experts-by-experience panels and civil society networks – into policy design and evaluation can be considered a distinctive and transferable model.
- **The economic case for prevention: failure demand and anchor institutions.** Scotland's public health sector has developed a compelling case grounded in evidence from both Scotland and comparable settings – that investment in social determinants reduces long-term public expenditure by preventing failure demand.

¹ The key policy messages shared here are adapted from those presented in the WHO Regional Office for Europe's *Deep dives on the well-being economy showcasing the experiences of Finland, Iceland, Scotland and Wales: summary of key findings* (3). This text expands on the Scottish experience.



What Scotland's experience reveals about the limits of soft governance and having conflicting goals

- **Outcomes frameworks without binding accountability.** Scotland's NPF sets ambitious outcomes but does not impose binding delivery obligations on public bodies. The result is a persistent "implementation gap": outcomes are aspirational rather than operational, alignment with the NPF is sought rather than required and accountability for delivery remains diffuse.
- **A well-being economy purpose without a radical new economic framework.** Since the Scottish Government has not abandoned gross domestic product growth as a main policy goal, this can be difficult to reconcile with other social and environmental goals.
- **Prevention logic without prevention finance.** Scotland's prevention logic is well-developed conceptually, but the fiscal architecture consistently prioritizes reactive spending over upstream investment. The structural tension – between the long time-horizons of preventative returns and the short cycles of political and budget accountability – has not been resolved.
- **Fiscal constraints and the gap between ambition and resources.** Scotland's well-being economy ambitions require public investment of a scale that the current devolved fiscal settlement struggles to fully support.

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2. Well-being economy in practice: case studies from Europe and beyond. Copenhagen: WHO Regional Office for Europe; 2025 (<https://iris.who.int/handle/10665/382198>). Licence: CC BY-NC-SA 3.0 IGO.
3. Deep dives on the well-being economy showcasing the experiences of Finland, Iceland, Scotland and Wales: summary of key findings. Copenhagen: WHO Regional Office for Europe; 2023 (<https://iris.who.int/handle/10665/366279>).

The Scottish context

Scotland is a country of the United Kingdom, occupying the northern part of the island of Great Britain and 790 other smaller islands, of which only a small portion are inhabited. Due to its particular challenges as a devolved nation with a strong commitment to fighting poverty and socioeconomic inequality through innovative economic approaches, Scotland offers a unique perspective on how a shift to a well-being economy can support system-wide efforts to address entrenched social issues. This section provides some context to understanding Scotland's road towards an economy that serves people and planet.

Scotland's population has reached a record high of 5.55 million (2024), despite having negative population growth with more deaths than births (7). This is due to migration, with higher numbers moving into Scotland – from abroad, as well as from other parts of the United Kingdom – than leaving. The Scottish population is ageing, with over 20% of its people aged 65 or older and only 16.2% being children aged 0–15 (7). This will continue to put pressure on public finances in the future, while the Government's capacity to raise revenue is limited by the governance framework of devolution (2).

Broadly, the Scottish Government has responsibilities in the areas of the economy, education, health, justice, rural affairs, housing and the environment, while the United Kingdom Government has unique powers in matters related to defence, foreign policy, the constitution and immigration. Key macroeconomic levers – including monetary policy, most taxation, labour market regulation and the bulk of social security – remain the preserve of the United Kingdom Government, although the Scotland Act 2016 devolved significant social security powers, and Social Security Scotland now administers a range of key benefits for Scottish residents. Expenditure on devolved matters is financed via a block grant from the United Kingdom Government and by funds raised in Scotland. The Scottish Government, however, is able to implement new social security cash payments, such as it has

done by introducing the Scottish Child Payment (7) and several other welfare benefits, to provide enhanced poverty mitigation. It also has partial tax autonomy, for example to set income tax rates and thresholds on non-savings and non-dividend income (3).

Since 2007, Scotland has been governed by the Scottish National Party (SNP) in minority governments, except for the period 2011–2016. The SNP advocates for an independent Scotland and in 2014 a referendum took place asking the Scottish people whether Scotland should be independent from the United Kingdom. The option to remain part of the United Kingdom won with 55.3% of the vote, but the independence question has not been completely resolved since then and the SNP advocates for another referendum to take place. Support for independence has fluctuated in recent years, with neither the “Yes” nor the “No” side establishing a clear lead in opinion polls (4). The so-called “constitutional question” is a defining feature of party politics in Scotland.

Scotland is a small open economy, with a high-skilled labour force and low unemployment (3.9%) (5). It ranks in the top quartile of Organisation for Economic Co-operation and Development countries regarding the share of the population with tertiary education, as well as in research and development investment in higher education (6). Most workers earn above the living wage (89%), which is the highest proportion of all United Kingdom regions (6). However, Scotland lags behind other advanced economies in terms of productivity (6).

While much of Scotland's territory is rural, less than one fifth of the population lives in rural areas. About 5% of the population lives in “remote rural areas”, with a population fewer than 3000 and a drive time of over 30 minutes to a town of 10 000 or more (7). Although rural and island communities are diverse, they often face similar challenges, including accessibility to services, fuel costs and population change, among others (7). While climate change is undoubtedly a challenge that Scotland is already

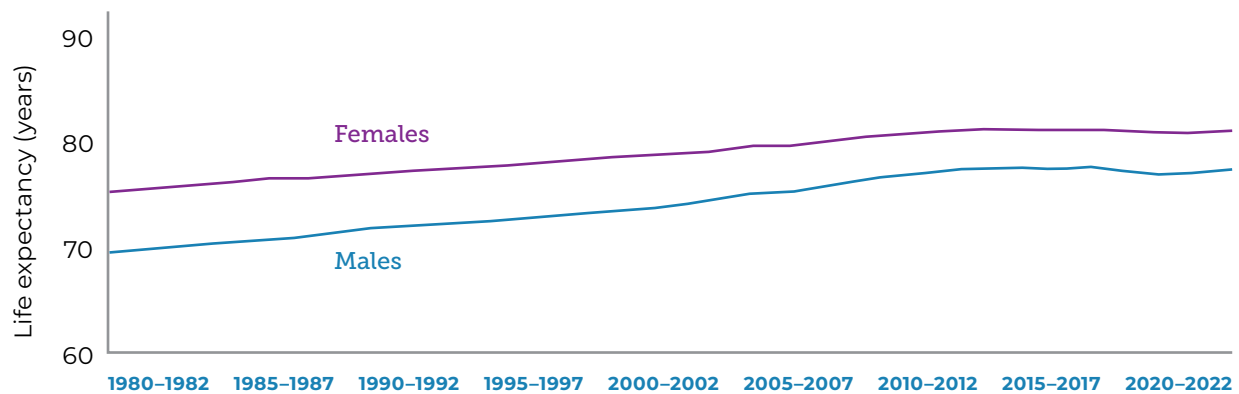
facing, with warmer and wetter weather and more extreme weather events, the Scottish Government is focusing on achieving a “just transition” to Net Zero that also tackles inequality (8), as well as on embedding a local places-approach to adaptation efforts (9).

Bearing in mind structural constraints, successive governments have embarked on a mission to redefine what economic success means for Scotland, placing reducing structural poverty and inequality at the centre of economic transformation towards a well-being economy. Scotland’s political landscape is also shaped by the question of independence. International readers should be aware that this context shapes both Scotland’s governance constraints and its motivation to develop a distinct policy identity. The next section further explores the challenges that Scotland is facing.

Contemporary and future challenges in Scotland

Scotland has the lowest life expectancy in western Europe and the widest social gradient in healthy life expectancy among comparable countries (2018–2020) (10). However, life expectancy in Scotland had increased continuously for decades until this pattern was interrupted in 2012–2014, with an abundance of research showing that this was related to austerity policies (Fig. 1) (11,12). The main approach that the United Kingdom Government took in response to the 2008 global financial crisis was to implement big reductions in public expenditure to decrease the deficit. This was implemented through cuts to public services and in the welfare system. As a consequence, Scotland’s block grant fell by 6% in real terms between 2010/2011 and 2016/2017 and did not recover until 2019/2020 (13). The cuts impacted local authorities across the United Kingdom. To respond to the financial pressures and increasing costs and demands facing local authorities, new innovative approaches in service development and delivery with a focus on prevention and early intervention have flourished since. These approaches are described in more detail sections below.

Fig. 1. Life expectancy at birth, Scotland, estimates 1980–2024.



Source: Based on data from National Records of Scotland (2025) (14).

There are wide inequalities in life expectancy between people living in the most and least affluent areas of Scotland. In 2022–2024, the difference between the 10% most deprived and 10% least deprived areas of Scotland (ranked by the Scottish Index of Multiple Deprivation) was 10.5 years for females and 13.2 years for males. For both females and males, life expectancy increases as area deprivation decreases (15). Inequalities in healthy life expectancy are even wider, with a gap between the most and least deprived areas of 26.7 years for females and 25.6 years for males (14). Differences in life expectancy reveal a pattern of place-based inequalities, with the highest life expectancy found in East Renfrewshire and the lowest in the neighbouring council of Glasgow city (1).

Persistent poverty with endemic characteristics and large economic inequalities are among the main drivers of health inequalities in Scotland and were intensified by the impact of the coronavirus disease (COVID-19) pandemic and the cost-of-living crisis, which disproportionately impacted households in vulnerable situations. This has occurred even though lower housing costs and more social housing have placed Scotland below the rest of the United Kingdom in poverty after housing costs since the beginning of the 2000s.² Poverty after housing costs is at 20%, translating into 1.1 million people living in poverty in 2021–2024 (17). Deep poverty (below 40% of the median) and working poverty are some of the concerning features of deprivation in Scotland.

Similar to what happened to the overall poverty rate, child poverty declined between 1995–1998 and 2010–2013 and rose again until 2018–2021. Child poverty has long been a central concern of the Scottish Government, alongside a consistent recognition that poverty in the early years is linked to the accumulation of disadvantage through the life-course and to negative impacts on health and inequalities (18). In 2021–2024, 23% of children were living in poverty in Scotland. The Government has identified priority families where children are disproportionately impacted by poverty; these are

families where one of its members is disabled (27% of children in these families are in poverty), single parent families (33% of children in these families are in poverty), families with a baby (35% of children in these families are in poverty), large families (41% of children in these families are in poverty) and those from a minority ethnic background (47% of children in these families are in poverty) (17).

Successive policies and initiatives have addressed structural inequalities as a response to shocks of various natures. For example, the COVID-19 pandemic resulted in the COVID Recovery Strategy, with its vision of a shift to a well-being economy alongside inclusive person-centred public services (19). Scotland's National Strategy for Economic Transformation (2022) oriented action towards a well-being economy within a fairer and more equal society (20). But perhaps the most persistent aim shared by successive governments is that of eradicating child poverty. Since 2017, specific targets towards this objective have been set by the Child Poverty (Scotland) Act 2017 (21). In 2021, the Government implemented the Scottish Child Payment, a weekly cash transfer which is notable for creating a unique-to-Scotland recurring income support mechanism designed to end child poverty and anchored in statutory targets (22).

Scotland will have to continue grappling with some of the same socioeconomic challenges as other United Kingdom nations, including cost-of-living pressures, population ageing, climate change and in-work poverty. These conditions are compounded by a strong post-industrial legacy, pronounced place-based inequalities and fiscal constraints. Together, these factors shape both Scotland's current challenges and its future policy choices, but also offer unique opportunities. For example, the “just transition” to Net Zero is seen not only as an outcome, but also as a participatory process and an end which cannot be achieved without addressing inequality (8).

On the road to becoming a well-being economy

The Scottish Government sees the well-being economy as “an economic system operating within safe environmental limits, that serves the collective wellbeing of current and future generations” (23). A well-being economy is one that recognizes the interconnections between people and planet; it is embedded within society and the environment, rather than a separate entity of its own working that takes priority over other societal systems.

Phases of transformation

Scotland's path towards a well-being economy can be traced back to the establishment of a new outcomes-based vision of governance anchored in the National Performance Framework (NPF). Long before well-being became a global policy discourse, Scotland had developed a culture of outcomes-based governance, formalized in 2007 with the introduction of the NPF. The objective of the framework was to articulate the Scottish Government's core purpose and priorities, and it was driven by an aim to innovate, although its focus was not explicitly on the well-being economy, but on “creating a more successful country with opportunities for all of Scotland to flourish, through increasing sustainable economic growth” (24).

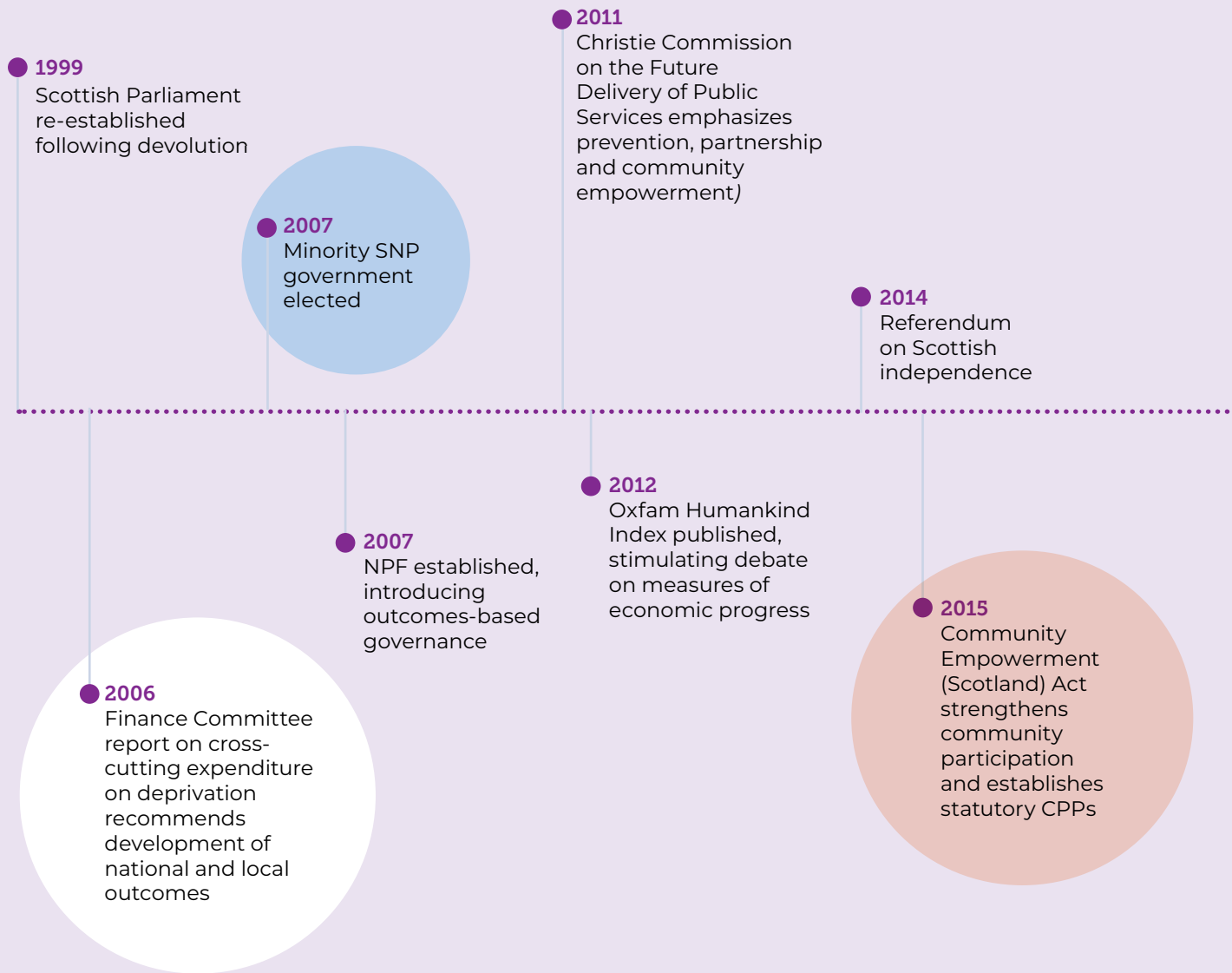
The Christie Commission (2011) forged rare cross-party consensus around prevention, collaboration and community empowerment. Meanwhile, the wider constitutional debate fostered a political culture receptive to alternative approaches to governance. These developments positioned Scotland as a testing ground for institutional renewal.

Under former First Minister Nicola Sturgeon (2014–2023), well-being became an explicit political project, articulated domestically and projected outward through Scotland's role in founding the Wellbeing Economy Governments (WEGo) partnership alongside Iceland and New Zealand, in 2018. These developments converged into a more coherent policy direction, as well-being was

embedded into economic strategy, climate policy and place-based development, notably through the National Strategy for Economic Transformation and the adoption of community wealth building (CWB). As explained below, however, this was not without tensions, in particular between the goal of increasing gross domestic product (GDP) and establishing a well-being economy (25). Fiscal constraints, implementation gaps and competing priorities continue to raise fundamental questions about delivery, accountability and political trade-offs. In 2024, the Scottish Government made economic growth one of its four priorities, together with eradicating child poverty, tackling the climate emergency and improving Scotland's public services (26). Even if child poverty was placed as “the greatest priority”, this is evidence that the dominant paradigm in economics, which prioritizes growth as measured by GDP, has not been overcome (Box 1) (25).

Fig. 2 summarizes the main events in the development of the well-being economy approach in Scotland.

Fig. 2. Timeline for the development of the Scottish well-being approach



● **2017**
Child Poverty
(Scotland) Act sets
statutory targets
to reduce child
poverty by 2030

● **2018**
Scotland becomes
a founding member
of the WEGo
partnership

● **2020**
Public Health
Scotland
established,
strengthening
cross-sector
leadership on
population health

● **2025**
National Strategy
for Economic
Transformation has
as a goal of creating
a well-being
economy

● **2017**
Consultation held
on the revision of
National Outcomes

● **2018**
Revised NPF and
new National
Outcomes laid
before the Scottish
Parliament

● **2022**
National Strategy
for Economic
Transformation has
as a goal of creating
a well-being
economy

● **2026**
Scottish
Parliament passes
Community
Wealth Building
(Scotland) Bill

Economic transformation and poverty reduction

Under former First Minister Nicola Sturgeon's leadership, well-being became a central political narrative, challenging growth-centric orthodoxy. Sturgeon argued that economic success must be measured by what truly matters to people's lives, not by aggregate indicators such as GDP, which distort the value that people place on collective well-being (27). This vision translated into a commitment to redesign policy evaluation, public accountability and budgetary priorities around new principles.

Establishing well-being outcomes

The NPF articulates a shared national purpose expressed through a set of National Outcomes spanning economic, social and environmental domains, which the Government is required to review every five years. Since its introduction in 2007, the framework has been part of a wider vision of intersectoral working (28).

Box 1. What Scottish stakeholders have to say about GDP

"GDP appears to be a powerful metric in terms of driving economic policy but not well-being and health. Economic growth measured by GDP does not deliver on the social determinants of health such as good quality and affordable food and housing. However, using a well-being metric to inform policy will be a challenge in the current context. GDP should be complemented with other metrics. This framing of addition rather than transformation marks a shift from the original well-being economy ambition of moving beyond GDP as the primary measure of success."

Over time, the NPF has evolved from a whole-of-government performance framework towards a whole-of-society one, responding to the vision of well-being as a societal goal, rather than a more limited duty placed solely on government ministries (28). The NPF is a call to action to all stakeholders in Scotland, including national and local governments, public and private sectors, businesses and communities (29).

The current government is working on a revised proposal for the next government to consider following the parliamentary election that is due to take place on 7 May 2026 (30). The proposal has been submitted to the Finance and Public Administration Committee, and the Government is asking for feedback from the public, third and private sectors. The proposal includes eliminating from the NPF's main purpose the previous reference to economic growth and to focus it on improving "the wellbeing of the people living in Scotland now and in the future" (see Table 1) (28). There have been criticisms at the lack of sufficient incorporation of civil society views in the latest revisions of the NPF, including the process running up to May 2024 and the new ongoing review process. Also, an important omission highlighted by stakeholders is the absence of an official effort to consult and hear what people with lived experience have to say about the NPF and its outcomes.

The proposal explicitly draws from international good practice, including the Organisation for Economic Co-operation and Development Measuring of Well-being Framework (30,31). The Government is considering changing the title of the framework and eliminating the word "performance" due to a "much greater focus on long term wellbeing" (30). The new proposed framework reduces the number of outcomes from 11 to only six, a change that seeks encouraging "greater collaboration and more effective systems thinking":

- Connected – we participate freely in the civic, cultural and social life of our communities.
- Healthy – we live longer, healthier and more fulfilling lives.
- Secure – we live safe lives, free from violence and injustice.
- Prosperous – we have a successful well-being economy which supports a good standard of living for everyone, with fair work and the opportunity to thrive.
- Skilled – we have the knowledge and skills we need throughout our lives to realize our full potential.
- Sustainable – we live in a healthy environment, enjoy the natural environment and protect it for future generations.

Table 1. Summary of the current proposal to review the NPF

What	Scotland's vision <i>To improve the well-being of people living in Scotland now and in the future</i>		
	Connected We participate freely in the civic, cultural and social life of our communities.	Healthy We live longer, healthier and more fulfilling lives.	Secure We live safe lives, free from violence and injustice.
	Prosperous We have a successful well-being economy, which supports a good standard of living for everyone, with fair work and the opportunity to thrive.	Skilled We have the knowledge and skills we need throughout our lives to realize our full potential.	Sustainable We live in a healthy environment, enjoy the natural environment and protect it for future generations.
	<i>These outcomes apply equally to everyone in Scotland and localize the SDGs.</i>		
How	Measuring what matters <i>National progress is measured through the streamlined National Outcomes indicator set (the top level of Scotland's performance and accountability system). Considering measures of distribution – fairness, equality, income and wealth, geography, inter-generational, future impact, and our place in the world – applies to all the outcomes and allows us to understand whether all communities are progressing.</i> <i>Impact and good practice are communicated through qualitative evidence (e.g. case studies on collaboration).</i>		
	Legislative underpinning <i>National Outcomes and the need to report progress towards them are established in law through the Community Empowerment (Scotland) Act 2015.</i>		
	Scotland's ways of working <i>Shared “ways of working” deeply embed a culture of strategic, long-term planning, where the National Outcomes are positioned at the apex of decision-making.</i> <i>This should reflect international good practice and the strong foundations that already exist in Scotland for efficient and effective public service (e.g. the Christie Pillars).</i>		

SDG: Sustainable Development Goal.

Source: Scottish Parliament (2026) (30).

Transforming the economy and achieving a just transition to Net Zero

Past economic transformations were not always equitable. As with many other countries, Scotland finds itself in a defining moment, when the urgent need to transition to Net Zero needs to be accompanied by redistribution of economic costs and gains, and a decent standard of living for everyone (Box 2). The National Strategy for Economic Transformation has as its goal to create “a wellbeing economy: a society that is thriving across economic, social and environmental dimensions, and that delivers prosperity for all Scotland’s people and places” (20). Rather than confining well-being to a specific social policy, it embeds it within its programmes of action, including a fairer and more equal society and a skilled workforce (Fig. 3).

Fig. 3. Vision, ambition and programmes of action for Scotland’s economy by 2032

Vision	<i>A well-being economy</i> Thriving across economic, social and environmental dimensions				
Ambition	Fairer Ensuring that work pays for everyone through better wages and fair work, reducing poverty and improving life chances	Wealthier Driving an increase in productivity by building an internationally competitive economy founded on entrepreneurship and innovation	Greener Demonstrating global leadership in delivering a just transition to a net zero, nature-positive economy, and rebuilding natural capital		
Programmes of action	Entrepreneurial people and culture 	New market opportunities 	Productive businesses and regions 	Skilled workforce 	A fairer and more equal society 
	A culture of delivery				

Source: Scottish Government (2022) (20).

It has been argued that the National Strategy for Economic Transformation fell short of redefining the purpose of the economy to serve people and planet or to set the basis for rebalancing economic power towards a more equal society (25). This is because the strategy creates “irreconcilable” conflicts by establishing economic growth as a means to achieve social and environmental outcomes – including environmental sustainability, quality of life and equality of opportunity and reward, when evidence shows that the pursuit of GDP growth often clashes with these goals (25). It has also been argued that although a well-being economy is the goal of the strategy, many of its elements are “indistinguishable from a conventional growth agenda” (32).

Box 2: Case study: Scotland's Just Transition Commission

Scotland's transition to a Net Zero economy risks concentrating costs on workers and communities already experiencing disadvantage. The Just Transition Commission (JTC) was established to ensure that decarbonization and well-being economy goals are pursued together, not in tension.

The Scottish Government established an independent JTC in 2019 under the Climate Change (Emissions Reduction Targets) (Scotland) Act 2019 (33) to provide scrutiny and advice on delivering a fair transition (34). A first Commission (2019–2021) developed foundational principles and recommendations; a second (2021–2026) held a longer-term delivery and scrutiny mandate, engaging over 900 people across Scotland – from oil workers to crofters – and producing annual assessments of government progress (35). The Commission is formally connected to the Fair Work Convention, the Poverty and Inequality Commission and the Council of Economic Advisers, embedding just transition within Scotland's wider cross-policy architecture (36).

The first Commission's final report, A national mission for a fairer, greener Scotland, set out 20 recommendations including a skills guarantee for workers in carbon-intensive sectors and the use of the NPF to drive joined-up climate action (34). The second Commission's final report, No time to lose, delivered 30 further recommendations spanning housing, transport, land use, CWB, and monitoring and evaluation (35). It found, however, that progress had fallen short, and that Scotland was reacting to crises rather than planning for success – a candid institutional assessment that itself reflects the accountability mechanisms the Commission embeds.

The JTC demonstrates how an independent advisory body can hold government to account on the social and economic dimensions of climate action, connecting environmental policy to well-being frameworks. Its place-based engagement model and integration with existing social justice institutions may offer a replicable structure for other countries seeking to pursue a just transition as part of a broader well-being economy agenda.

Ending child poverty

Ending child poverty is placed as an utmost priority in the National Strategy for Economic Transformation, in line with the statutory targets set by the Child Poverty (Scotland) Act 2017 (21). These targets are that by 2030, less than:

- 10% of children are in relative poverty
- 5% of children are in absolute poverty
- 5% of children are in combined low income and material deprivation
- 5% of children are in persistent poverty.

Under the Act, local authorities and health boards are required to jointly prepare and publish annual Local Child Poverty Action Reports, in which they explain what they have done to contribute to child poverty targets, as well as which measures they propose (21). There is wide discretion for

local authorities to report on other issues that are relevant to the local context. As is common in the Scottish approach there are no penalties or formal accountability measures if a local authority fails to publish a report. This is part of a wider soft approach based on national direction and set expectations rather than on hard accountability systems. However, it is important to note that the strongest instruments to fight child poverty sit with national rather than local government.

This outcomes-based approach to tackling child poverty is complemented by governance mechanisms designed to mainstream inequality considerations across public decision-making. The Fairer Scotland Duty (2010) places a legal responsibility on a wide range of public bodies – including ministers, local authorities and special health boards – to actively consider how their strategic decisions can reduce inequalities in

outcomes caused by socioeconomic disadvantage (37). It recommends public bodies to publish a written record of their decision-making process, and it indicates that including the affected groups in it will facilitate compliance with the duty, making participation a key requirement.

Despite the difficult economic context that Scotland has had to face in recent years, including the COVID-19 pandemic and the cost-of-living crisis, there have been recent positive developments regarding child poverty rates, which have been linked to the introduction of the Scottish Child Payment. The transfer has provided £27.15 per child weekly to poor families since April 2025 and was due to be increased to £28.20 from April 2026, compared with initial payments of £10 per week made to eligible families in February 2021 when it was first introduced (38). Modelling indicates that the benefit

will have kept 40 000 children out of relative poverty in 2025–2026 and pushed the relative child poverty rate four percentage points lower than it would be without the policy (39). The benefit has had both an increase in payment levels and in eligibility since it was introduced (39). By September 2025, around 322 000 children were benefiting from it (40). Despite this, interim targets have been missed, showing the extent of the investment needed (17). Box 3 describes a joint initiative to provide a whole-system approach to tackling child poverty.

Box 3: Glasgow Child Poverty Pathfinder – the “no wrong door” model

Despite Scotland’s statutory child poverty targets under the Child Poverty (Scotland) Act 2017 (21), child poverty rates have shown little change in recent years, reflecting the limitations of fragmented service provision (41). The Glasgow Child Poverty Pathfinder was established in 2022 to test whether a whole-system approach – in which any contact with public services becomes the gateway to holistic, person-centred support – can drive meaningful change at city scale (41,42).

The Pathfinder is a joint initiative between Glasgow City Council, the Scottish Government, the Glasgow City Health and Social Care Partnership, Social Security Scotland, the Department for Work and Pensions, and third sector partners, built around a “no wrong door” principle (41). Its primary delivery mechanism, Glasgow Helps, is a telephone service open to anyone with a Glasgow postcode, providing triage, holistic needs assessment and navigation to services. A multi-agency change team drives whole-system reform across multiple workstreams, supported by the University of Glasgow and the Improvement Service (42).

Between May and December 2022, 5564 contacts were made and 713 citizens received ongoing case management support (41). Families gave overwhelmingly positive feedback on the person-centred approach, reporting reduced barriers to service access (41). The Pathfinder has since evolved into the Glasgow Child Poverty Programme, with a renewed 2024–2027 plan and an anticipated longer-term 10-year city action plan (42).

The Glasgow model illustrates how statutory child poverty commitments, multi-agency partnership and whole-system design can together begin shifting service cultures from crisis response to prevention. Its alignment with Christie Commission principles and the NPF makes it a transferable example of well-being economy commitments operationalized at the local level (41,42).

Public sector transformation

Governments are having to respond to an increasing demand for services such as health and care under great fiscal and demographic pressures. In this context, radically transforming public services has become a necessity. In Scotland, this need for reform was clearly established by the Christie Commission, whose groundbreaking work 15 years ago successfully developed social consensus on both the diagnosis of the problems and what needed to be done to fix them (43).

The Commission stated that a failure to prioritize prevention had led to persistent inequalities and that a substantial share of public expenditure was being devoted to remedial interventions that could have been avoided through preventative action. Fragmentation, siloed working, top-down decision-making, weak accountability and short-termism had restricted the system's ability to deliver better outcomes for people and communities. This was a deviation from the ultimate aspiration of public service delivery: ensuring social justice and human rights (43).

The Government's response included a commitment to reform public services through what has become known as the "4 Ps" – people, partnership, prevention and performance (Box 4) (44).

Box 4: The 4 Ps of public service reform

- **People.** Reforms must aim to empower individuals and communities by involving them in the design and delivery of services.
- **Partnership.** Public service providers must work more closely in partnership, integrating service provision to improve their outcomes.
- **Prevention.** Expenditure must be prioritized on public services which prevent negative outcomes.
- **Performance.** The public services system – public, third and private sectors – must reduce duplication and share services to become more efficient.

Source: Glasgow University (2021) (44).

Since the Commission published its report in 2011, there has been progress around community development, co-production and asset-based approaches (45); however, progress has been insufficient to meet the challenges (44).

Lived experience

Scotland's well-being economy is not solely an institutional project; it is also deeply rooted in lived experience. Scotland has a long-term commitment to incorporating lived experience in the policy process, not as a tokenistic exercise, but rather as a routine mechanism to bring to the fore the voices of disadvantaged groups, while understanding the ethical risks that can arise if this is not done adequately. The Poverty Alliance, a grassroots independent network that brings together communities, academics and organizations, has been instrumental in building a social movement to end poverty (46). The Alliance receives government funding.

Poverty Truth Commissions were also part of the Scottish approach to lived experience. These commissions involved people with experience of poverty together with commissioners with decision-making power, and experience in academics or business, to examine inequality and poverty as complex social problems (47). The commissions had a focus on building trust and relationships, so that people with experience of poverty could feel safe to share their life trajectories, therefore contributing to the critical reflection on the structural drivers of poverty. The commissions were action-oriented and locally based. The model has since evolved: in 2019 the Poverty Truth Commissions rebranded as the Poverty Truth Community, shifting from time-limited commissions to an ongoing movement for change led by people with lived experience of poverty (48).

An important element of scrutiny and accountability is provided by the Poverty and Inequality Commission. Embedded in the Child Poverty Act, the Commission is tasked with providing independent advice and scrutiny of the Government's work on inequality and poverty. The Commission has prioritized lived experience by incorporating an "experts by experience" panel, composed of 12 people with lived experience of poverty (49).

These initiatives bind abstract policy frameworks to everyday realities, ensuring that reform remains grounded in dignity, participation and justice (47,50).

Box 5 describes an example of how lived experience has been used in Scotland to co-design public services.

Box 5: Case study: The Promise – people-powered care reform

Scotland's care system was producing poor outcomes for care-experienced children and young people, driven by fragmented services, risk-averse governance and compliance cultures that prioritized system efficiency over relationships. Transforming care is a direct expression of the NPF's commitment to children growing up loved, safe and respected.

Between 2017 and 2020, the Independent Care Review (51) engaged more than 5500 people across Scotland – over half of them care-experienced children, young people and adults – positioning them as primary knowledge holders rather than consultees. The outcome, The Promise, is a national commitment to reform how care is understood, governed and delivered. The Promise Scotland, an implementation organization established in 2020, works alongside all 32 local authorities, NHS bodies and third-sector organizations. Scotland's planning framework to support The Promise identifies 25 themed route maps for delivery by 2030.

The Promise has secured sustained cross-party political support since 2020. The Children (Care, Care Experience and Services Planning) (Scotland) Bill (52) reached Stage 2 in the Scottish Parliament in February 2026, with key provisions including improved access to aftercare support, a statutory right to advocacy, reforms to the Children's Hearings System, and powers to limit profit in residential care. The Independent Care Review analysis also documented the substantial long-term financial costs of the current system, making an evidence-based case for upstream investment in relational care.

The Promise demonstrates that lived experience can function as system-level intelligence – shaping both the content of policy and the processes through which it is developed. It offers a replicable model for co-designing public services around relational rather than compliance-based values, with direct relevance for any well-being economy approach that aims to reach the most marginalized.

NHS: National Health Service

Community participation, local development and democracy

Since the 2008 recession, socioeconomic inequalities have widened in the United Kingdom, including in Scotland – both between geographic areas and between individuals and households ranked by income, employment and wealth. Austerity measures disproportionately affected already disadvantaged communities, and the concentration of high-value economic activity has reinforced both place-based and individual disadvantage. These deepening inequalities in the social determinants of health are reflected in large and widening health inequalities across Scotland (13).

CWB, inclusive and democratic business models, participatory budgeting and Community Planning Partnerships (CPPs) represent attempts to redirect economic life around local needs and assets. Anchor institutions – councils, universities, health boards, housing associations – shape how financial, social and physical resources circulate within territories.

Public Health Scotland's assessment of CWB confirms its potential to reduce poverty, strengthen social cohesion and improve population health, demonstrating how economic restructuring can translate into tangible well-being gains (53).

Inclusive and democratic business models

Inclusive and democratic business models – social enterprises, employee-owned businesses and cooperatives – aim to democratize economic production under the assumption that fairness should not be sought through “after the fact” redistribution via taxation and social security systems, but rather it should be seen as an inherent quality of all economic activity (54). There are around 7000 inclusive and democratic businesses in Scotland and the Government has signalled that it considers them an integral part of economic transformation (55), although they still represent a very small proportion of all businesses in the country.

Community wealth building

Grounding the economy in local places and their people is the main principle behind CWB, an approach that has been gaining momentum in Scotland and was formally adopted by the Scottish Government in its 2020–2021 Programme for Government (56). CWB aims at redirecting economic activity towards local places in a way that makes wealth generation tangible for local communities, by creating fair employment through local enterprises and local procuring of goods and services. CWB's five pillars are: shared ownership of the local economy; making financial powers work for local places; fair employment and just labour markets; progressive procurement of goods and services; and socially just and productive use of land, property and assets (57).

Anchor institutions are a key feature of this model. They are organizations which have an important stake in a place by being large employers, purchasing large quantities of goods and services, controlling land and having fixed assets in the territory (54). They are increasingly being seen as a tool to promote the well-being economy by using their assets and resources strategically to support the local community (57). Examples of anchor institutions are local authorities, schools, the National Health Service (NHS), universities, housing associations and large local businesses.

The Scottish Government has committed to expanding the CWB model as a means of addressing critical challenges such as child poverty, entrenched inequalities and the climate emergency (58). A key mechanism is the recently passed Community Wealth Building (Scotland) Bill, which instructs ministers to state which measures they intent to take in relation to CWB, as well as to publish guidance. The bill also requires local authorities to work with relevant public bodies in their areas to publish a CWB action plan, setting up measures to promote CWB, through for example public procurement and commissioning, promoting employment opportunities and utilizing common good property (assets held for the common good) (59).

The Government has also designed pilot areas to implement CWB: Clackmannanshire, Fife, Glasgow City Region, South of Scotland and Western Isles (Comhairle nan Eilean Siar) following the pioneering

example of North Ayrshire (Box 6) (60). According to the Government, currently 28 of Scotland's 32 local authorities are engaged in CWB initiatives (61).

Box 6: Case study: CWB in North Ayrshire

North Ayrshire is among the most deprived local authority areas in Scotland, with around a third of its data zones falling within the 15% most deprived nationally (62). Traditional inward investment models had failed to address structural disadvantage, prompting the council to use the spending and employment power of local anchor institutions to retain economic benefit within the area. The approach directly supports the NPF's outcomes for communities, fair work and local economies.

North Ayrshire was a pioneer of CWB in Scotland, developing its approach ahead of the national programme and helping to shape it. In May 2020, North Ayrshire Council published Scotland's first CWB strategy, applying the five-pillar framework – spending, workforce, land and property, inclusive ownership, and finance – developed by the Centre for Local Economic Strategies (62,63). Key actions included reforming procurement to favour local and small- and medium-sized enterprise suppliers, achieving Living Wage accreditation across council and partner workforces, and supporting community and employee-owned enterprises. The Ayrshire Growth Deal, a partnership between North, East and South Ayrshire councils and the Scottish and United Kingdom Governments, included a dedicated £3 million CWB fund to support subregional implementation (64).

North Ayrshire became the first council in Scotland to achieve Living Wage Place status (63). The model directly informed the Scottish Government's decision to launch five CWB pilots across Clackmannanshire, Fife, Glasgow City Region, South of Scotland and the Western Isles in 2020 (64). A 2024 independent review by Scotland's Rural College identified North Ayrshire as an example of best practice, finding that CWB gains traction where there is leadership commitment, policy integration across plans and dedicated staff resource (65).

North Ayrshire demonstrates that a local authority can use existing institutional leverage – rather than new investment alone – to shift local economic outcomes. The model underpins the Community Wealth Building (Scotland) Bill, which proposes statutory duties on all 32 councils to develop CWB strategies (64). It offers a scalable template for embedding well-being economy principles in place-based economic development across Scotland.

Community Planning Partnerships

Community planning in Scotland brings together the core principles of place-based delivery and public sector reform, and it has been actively promoted both by the Scottish Government and the Convention of Scottish Local Authorities (COSLA) as a key tool to improve inequalities in outcomes (66). Place-based working recognizes that complex cross-cutting challenges require locally tailored responses built around meaningful democratic participation. Public sector reform, in turn, calls for a shift away from siloed interventions towards whole-system, preventative approaches. Community planning provides the institutional and governance framework through which these principles are intended to work in practice at the local level (67).

CPPs draw together all relevant local partners, including the local council and other public bodies (NHS boards, Police Scotland, Scottish Fire and Rescue Service), communities and, increasingly, businesses, to work collaboratively to address needs. CPPs rely on a mix of strategic boards, thematic/partnership groups aligned with local priorities (e.g. poverty, community safety, children's services), and operational arrangements at the "locality" level – smaller areas in each council, which experience poorer outcomes – that enable frontline coordination and community engagement (68). They are required to produce Local Outcome Improvement Plans, which use evidence to identify priorities.

Each community partnership area has a Place Director, a senior civil servant who helps to ensure that national policy implementation reflects local realities (69). The creation of CPPs became a statutory duty in the Community Empowerment (Scotland) Act 2015 (67,70), although community planning started in Scotland in the late 1990s (71). They have since strengthened their contribution, with growing leadership around community empowerment, increasing use of community-led action planning and participatory tools, and more systematic engagement with communities (67).

Participatory budgeting and Citizens' Assemblies

In Scotland, participatory budgeting is understood as "a democratic process in which citizens decide directly how to spend part of a public budget" (72). Inspired by the Brazilian experience of the 1980s in the city of Porto Alegre (see Box 7) and the international attention and replication that followed in the ensuing decades, Scotland has engaged with participatory budgeting as another means of fostering local democracy and fighting inequalities (72).

Box 7: Shared principles between the Scottish approach and the Porto Alegre experience

- **Community involvement:** citizens set priorities for public funds, ensuring their needs are addressed.
- **Structured processes:** a staged approach where proposals are developed and voted on by the wider public.
- **Direct decision-making:** emphasis on citizen engagement and local priorities.
- **Addressing inequalities:** ensuring less-heard voices have an opportunity to have their say about services that affect them.

Source: Participatory Budgeting Scotland (2026) (73).

In 2017, the Scottish Government and local authorities agreed that at least 1% of local government budgets would be decided through participatory budgeting by the end of 2021. In 2023–2024 (latest data available), participatory budgeting reached 1.5% of the total available local authorities' budgets, according to Government data (74). In practice, however, participatory budgeting processes have often been applied to relatively small discretionary funds, raising questions about the extent to which they extend genuine fiscal power to communities.

Scotland has also pursued more formal deliberative mechanisms for civic participation. The national Citizens' Assembly (2019–2020) explicitly engaged questions of economic direction and social priority, incorporating well-being economy concepts into its deliberations – offering an early model of how national conversations about economic transformation can be structured around citizens rather than experts alone (75). Scotland's membership of the Open Government Partnership provides an international accountability framework for these commitments to transparency and participation (76).

Widening the ecosystem: philanthropic actors, businesses and the well-being economy

Formal governance mechanisms – the NPF, CWB legislation, CPPs – provide the institutional architecture of Scotland's well-being economy. But the approach depends equally on a wider ecosystem of civil society actors willing to align their own practice with its principles. Scotland's community foundation, Foundation Scotland, provides an example of this alignment in action: working with the Wellbeing Economy Alliance Scotland (WEAll Scotland) since 2021, it has begun to reorient its philanthropic model from downstream charitable giving towards upstream systems change – building community agency, supporting democratic enterprise and channelling renewable energy revenues back into the communities that host them (Box 8).

Box 8: Raising the gaze: how Foundation Scotland is reorienting philanthropy towards a well-being economy

Conventional philanthropy tends to address symptoms of inequality rather than structural causes. Foundation Scotland, Scotland's only community foundation, identified this tension in its 2020–2030 strategy by distinguishing between charitable giving that sustains the status quo and strategic giving oriented towards long-term socioeconomic change (77).

From 2021, Foundation Scotland partnered with WEAll Scotland to embed well-being economy principles in its practice, co-designing staff training, fund design toolkits, a revised theory of change and a pilot upstream fund directing philanthropic capital towards root causes of inequality (78,79). In parallel, its management of the EDF Dorenell Wind Farm Community Benefit Fund channels renewable energy revenues to surrounding communities through a democratically governed local panel, keeping wealth generated from a local natural asset within that area (80).

The upstream pilot fund is operational, and Foundation Scotland has publicly endorsed the What Matters to You community-led change manifesto, committing to community voice as the foundation of anti-poverty work rather than as an add-on (81). Its £6 million Response Fund supported Citizens Advice Scotland through a year of 23% demand growth, with over 702 500 advice issues handled – illustrating the scale of crisis need that upstream investment aims to reduce over time (82).

Foundation Scotland shows that well-being economy principles can be embedded in philanthropic institutions, not only in government. The Dorenell community benefit model offers a transferable template for democratically governed place-based predistribution, aligned with the NPF's outcomes for communities and the just transition..

Scotland has also sought to engage the business community directly in its well-being economy agenda. The Business Purpose Commission for Scotland (2021–2022), a joint initiative between the Scottish Government and the Scottish Council for Development and Industry, examined how Scottish businesses could contribute positively to economic prosperity, social well-being, and environmental sustainability, with the government committing to embed its recommendations across policy portfolios (83). Building on this, the New Deal for Business Group, established in 2023, included a dedicated well-being economy subgroup tasked with developing a shared understanding of what the well-being economy means for business; its final report acknowledged, however, that progress remained uneven and that a gap between ambition and measurable delivery persisted (84). Moreover, to support a green and fair societal transition, Public Health Scotland has supported the Scottish Government in embedding a health-in-all-policies approach to climate policy, connecting environmental sustainability, social justice and population health within the well-being economy framework (85).

Collaboration for health equity in Scotland

Scotland has joined the growing network of Marmot Places across the United Kingdom through the Collaboration for Health Equity in Scotland (CHES), launched in February 2025. Bringing together Public Health Scotland and Professor Sir Michael Marmot's Institute of Health Equity (University College London) with partners in Aberdeen City, North Ayrshire and South Lanarkshire, CHES is informed by the experience of Marmot Places across England and Wales. The collaboration aims to bridge the gap between national policies and local implementation by supporting local CPPs to strengthen plans for reducing health inequalities and improve well-being, with learning shared nationally to provide a model for scaling place-based action across Scotland (86, 89).

The well-being economy in practice

Governance mechanisms

As explained, the NPF is one of the instruments through which Scotland has sought to embed well-being economy principles in public policy. The framework articulates a shared national purpose around National Outcomes and a set of national indicators intended to guide political decision-making and, in principle, to inform strategic planning and resource allocation across Scotland's public sector (90). The NPF is also the instrument used by Scotland to incorporate the United Nations Sustainable Development Goals (SDGs) (91).

The NPF is supported by statutory provisions in the Community Empowerment (Scotland) Act 2015, which requires the Scottish Government to review the National Outcomes every five years and to regularly report progress (70). It also places duties on ministers and on a wide range of public bodies to “have regard” for those outcomes in their functions, although it lacks strong accountability mechanisms (90). A small team of civil servants in central government has been tasked with promoting the NPF, encouraging its use in public administration, persuading colleagues and providing guidance (92).

The NPF has been successful in establishing a vision for Scotland's aspirations. Some organizations and sectors, such as the COSLA, NatureScot and Scottish Enterprise have also expressed that the NPF is an important influence on their way of working (93).

However, there is also acknowledgement – as expressed by the Auditor General and experts such as Dr Max French, and as referred to by the Government during the Inquiry into proposed National Outcomes – that there is a real “implementation gap”, as the NPF has not risen above a complex policy landscape to influence public policy design and delivery across national and local government (29,92). In fact, as claimed during the Inquiry, while alignment with the NPF is sought, this often happens after outcomes have already been decided (93). Academics have asserted that the NPF is “underused” (90).

Cross-sectional whole-of-government approaches to policy-making need accountability mechanisms that are able to incentivize and reward collaborative ways of working (94). This often clashes with more traditional ways of measuring performance. Thus, the Auditor General and the Accounts Commission have called for new systems for measuring performance in line with the cross-sectoral requirements linked to establishing a well-being economy (93).

Advisory and coordinating bodies

Alongside the NPF, a wider ecosystem of advisory and coordinating bodies has emerged to support the development and implementation of a well-being economy in Scotland. They operate through dialogue, evidence-building and coalition-building. At parliamentary level, a cross-party group on the well-being economy works to promote understanding and delivery (93). The Wellbeing Economy Expert Advisory Group gathers representatives from trade unions, academia, local government, businesses and think tanks to provide advice to Scottish ministers. WEAll Scotland has played an influential role in advancing the well-being economy agenda beyond government (95,96). Since its establishment in 2019, it has built a network of over 150 member organizations spanning grassroots community groups, national nongovernmental organizations and purpose-driven businesses (96). WEAll Scotland has helped secure government commitments to move towards a well-being economy, contributed evidence to parliamentary processes including on the Community Wealth Building (Scotland) Bill, and worked as a thinking partner with civil society institutions to orient practice towards systems change (97,98). WEAll Scotland's four principles of purpose, prevention, predistribution and people-power are aligned with the practical framework for translating well-being economy ambitions into concrete action across civil society and the public sector (Box 4) (96,97).

Civil society has also played an active accountability role. WEAll Scotland's open letter campaigns – signed by over 200 charities, economists, businesses and trade unions – have publicly called on successive first ministers to translate well-being economy commitments into concrete action, illustrating the breadth and persistence of civil society mobilization around the agenda.

Implementation at the local level

As mentioned above, CPPs lead community planning in a given area, drawing together all relevant stakeholders to decide upon local priorities, put in place implementation plans and assign responsibilities. CPPs have a statutory duty to improve outcomes and reduce inequalities. As such, they can be a vehicle for well-being economy objectives at the local level.

CPPs have prioritized action on child poverty, household income and cost-of-living pressures in their Local Outcomes Improvement Plans. For example, the Glasgow CPP has prioritized addressing poverty in its 2024–2034 plan. The plan is explicitly anchored in one National Outcome – the one that addresses poverty and the need to share wealth, opportunities and power more equally. The CPP regards the redesign of public services as a necessary step towards achieving the outcome and adopts a whole-system, preventative approach that integrates interventions on a wide array of social determinants of health, such as fair work, housing or childcare. Delivery is provided with different intensity according to need (99).

At the local level, several councils have described their vision of the NPF as a “golden thread” that links national outcomes with their day-to-day working activities (93). However, local authorities have also argued that they do not receive sufficient funding to support the incorporation of NPF outcomes into their work (100). The Finance and Public Administration Committee has advised that that the Scottish Government and COSLA consider how:

- funding can be allocated based on the activities, outputs and intended impact of the programmes, including how they contribute towards the NPF; and

- funding can be used to incentivize collaborative working, helping to address barriers that arise when the financial benefits of longer-term savings are delayed or are directed to different actors.

These recommendations recognize a structural implementation challenge that is common to social determinants and well-being interventions: well-being objectives often require upfront investment in prevention, while the financial returns – whether in reduced health costs, improved employability or lower demand for crisis services – materialize over longer time horizons and may benefit different parts of the system. Without financial mechanisms that reward collaboration and long-termism, local (and national) actors face disincentives to act collectively. There can also be conflicts between the national government setting direction and local authorities and their partners being able to set their own priorities.

The Wellbeing Economy Toolkit

The Wellbeing Economy Toolkit is an instrument to operationalize well-being economy principles within local and regional economic strategy (101). It emerged from a collaboration between the Scottish Government and Clackmannanshire Council in 2020–2022 (Box 9) and is intended to support other local authorities and regional economic partnerships in adopting a systematic and evidence-led approach to translating well-being goals into a methodology that is reflective of local realities and can legitimately guide prioritization, cross-sector collaboration and long-term transformation.

The toolkit is rooted in the NPF and the SDGs, and its strength lies in adopting a participatory approach to develop a common vision of well-being and an understanding of its main drivers. Once this is established, shared priorities are defined while taking account of trade-offs and potential synergies. Fig. 4 provides an overview of the process.

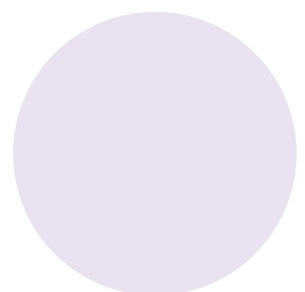
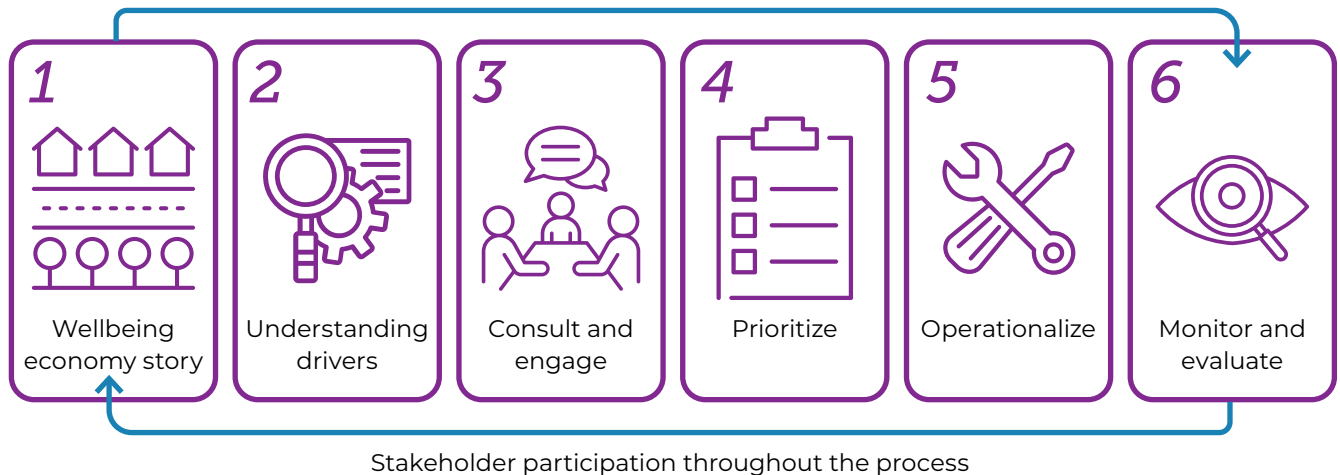


Fig. 4. Overview of the Wellbeing Economy Toolkit diagnostic process



Source: Scottish Government (2022) (101).

Box 9: Clackmannanshire Local Wellbeing Economy Pilot (2020–2022)

Between 2020 and 2022, the Scottish Government and Clackmannanshire Council partnered to co-create a local well-being economy vision tailored to Clackmannanshire's socioeconomic context. The pilot addressed persistent challenges such as child poverty, health inequalities, labour market disparities and spatial deprivation, while building on community assets and regeneration opportunities. Its aim was to test and refine a participatory, system-wide diagnostic process for identifying key drivers of well-being and prioritizing interventions to improve outcomes across the local economic system.

Guided by Scotland's NPF and a commitment to inclusive, sustainable growth, the project combined data analysis, systems mapping, academic input and extensive engagement with public services, communities and third-sector partners. This approach explored how economic, social and environmental factors interact to shape local well-being outcomes, providing evidence to inform strategic interventions.

The pilot produced a shared well-being economy vision, embedded in Clackmannanshire's Local Outcomes Improvement Plan 2024–2034 and other strategic plans, including the Community Wealth Building Action Plan. This vision is structured around three strategic outcomes – well-being, economy and skills and places – each supported by coordinated programmes and partnerships across the public, private and third sectors. A high-level performance dashboard was established to track indicators such as child and fuel poverty, employment and apprenticeship participation, earnings and gender pay gaps, access to green space, crime rates, community asset ownership, and residents' satisfaction with neighbourhoods and public services.

The pilot directly informed the development of Scotland's Wellbeing Economy Toolkit, demonstrating how participatory, place-based diagnostics can translate national well-being frameworks into actionable local strategies, governance structures and targeted interventions. Illustrative tools from the pilot, including a framework linking key well-being outcomes to Scotland's National Outcomes and the SDGs (Fig. 5), provide a replicable model for other local authorities adopting a place-based, evidence-led approach to well-being economy planning.

Fig. 5. Key well-being outcomes identified in Clackmannanshire and their contribution to National Outcomes and the SDGs



Adapted from Scottish Government (2022), *Wellbeing Economy Toolkit: Supporting Place-Based Economic Strategy and Policy Development*, Figure 4.
Licensed under the Open Government Licence v3.0., (101).

The Wellbeing and Sustainable Development Bill

In 2023, the Scottish Government launched a public consultation on proposals for a Wellbeing and Sustainable Development Bill. The consultation explored placing a stronger duty on public bodies to promote well-being and sustainable development, inserting definitions in law and embedding longer-term thinking in decision-making. It also considered the establishment of a Future Generations Commissioner, drawing inspiration from Wales (103). However, following the consultation process, the Government did not proceed to introduce a bill to Parliament.

Subsequently, Member of the Scottish Parliament, Sarah Boyack introduced a Member's Bill covering similar ground. Her proposal sought to place sustainable development and well-being duties on public authorities, strengthen alignment with national outcomes, and establish an independent Future Generations Commissioner to provide oversight and promote policy coherence across sectors (104). The bill did not pass Stage 1 in Parliament and therefore fell, even though it had received considerable public support from civil society organizations. It has been argued that having a Futures Generations Commissioner can significantly support Scotland on the road towards a well-being economy, since the commissioner can act as a champion of the NPF; support relationships between public bodies; and provide a long-term view that allows for cultural change (105).

Monitoring and measuring progress

National indicators

The NPF measures national progress made against the National Outcomes, using its national indicators, of which there are 81 – but these could change in the current revision of the NPF. These national indicators measure the national well-being in various areas such as economic, social and environmental. This helps Scotland to evaluate its national well-being performance and detect areas which require action. However, in March 2024, of the 81 national indicators there were no data for 17 (106). As explained, the NPF and its indicators are being reviewed, and it is

expected that the next iteration will be launched in the Parliament that will come out of the May 2026 elections (107).

Wellbeing Economy Monitor (2025)

Scotland's Wellbeing Economy Monitor is a tool acknowledging that there are other metrics than GDP alone to measure how the national economy contributes to what people value – including health, equality, fair work and environmental sustainability. It is an attempt to measure progress made towards the well-being economy in harmony with the NPF to guide economic decision-making in Scotland. It complements the NPF in a way that it focuses on “the key areas where the economy and economic policy contribute to those outcomes, including those factors that are likely to influence future wellbeing” (108). Selected indicators were grouped using the four capitals approach, slightly rephrased to operate in the Scottish context (Fig. 6).

Fig. 6. Four Capitals approach used to measure progress towards a well-being economy in Scotland



Source: Scottish Government (2020) (109).

The Wellbeing Economy Monitor has two components:

- National Wellbeing Economy Monitor – compiles time-series information on 14 well-being indicators, enabling assessment of Scotland's progress over time and, where data permits, performance at local authority level.
- Local Wellbeing Economy Monitor – presents annual data on 17 well-being indicators to provide an overview of each local authority's relative position across social, environmental and economic domains, with comparisons to national averages. It is intended to inform the first stage of the diagnostic approach outlined in the Wellbeing Economy Toolkit.

Bridging national and local

The Place and Wellbeing Outcomes framework – developed collaboratively by the Improvement Service, Public Health Scotland and COSLA – represents a practical step towards bridging NPF indicators and local place-based priorities through CPPs. However, its use is not mandated, leaving the translation between national outcomes and local delivery dependent on local initiative rather than systematic requirement (170).

Health in the well-being economy and co-benefits shared with other sectors

So far, this deep dive into the well-being economy in Scotland has focused on the process of transition and on practical examples of how key stakeholders and institutions are working together to advance the approach, including the systems used to monitor well-being outcomes and measure progress. This section considers the role of both the health sector broadly – particularly NHS Scotland as an anchor institution and major employer – and the public health function specifically, including Public Health Scotland, which has been a key institutional advocate for well-being economy principles.

The evolving role of public health in the well-being economy

In Scotland, health is increasingly understood as an integrated human dimension of well-being, shaped by complex interactions between individuals and their wider social, economic and environmental conditions. Health outcomes are therefore influenced by housing, employment, income, education and community context, not clinical services alone. Reflecting this perspective, Public Health Scotland plays a prominent role in national efforts to address poverty and inequality, grounded in the recognition that meaningful improvements in population health depend on tackling the fundamental social conditions that generate unequal outcomes.

As described in earlier sections, the Christie Commission (2011) established prevention as a foundational principle of Scottish public policy. This shift has been expressed through a series of institutional developments that have progressively reoriented public health from a focus on disease prevention and behavioural determinants towards a whole-systems approach to population well-being.

Scotland's Six Public Health Priorities, jointly agreed between the Scottish Government and COSLA in 2018, provided the first shared framework for this reorientation, covering areas from early years and mental well-being to places and communities. Most relevant here is Priority 5 – a sustainable, inclusive economy with equality of outcomes – which explicitly positioned the economic system as a determinant of health and established a formal entry point through which the public health sector could engage with economic policy, CWB, fair work and poverty reduction.

The creation of Public Health Scotland in 2020 consolidated the institutional infrastructure. Formed through the merger of NHS Health Scotland, Health Protection Scotland and the Information Services Division, Public Health Scotland operates as a special NHS Health Board with a distinctive governance arrangement: joint accountability to both the Scottish Government and COSLA. This dual accountability positions Scotland's national public health body as a bridge between central government and local democratic governance.

Public Health Scotland is also one of four designated national partners supporting Scotland's child poverty agenda – alongside the Poverty Alliance, the Child Poverty Action Group and the Improvement Service – placing population health expertise at the centre of the multi-agency infrastructure for poverty reduction.

In January 2026, Public Health Scotland published its new 10-year strategy, *Together We Can*, setting out the aim to improve average life expectancy by at least one year by 2035, while narrowing the gap between the poorest 20% of areas and the national average (111). The Population Health Framework, published jointly by the Scottish Government and COSLA with support from Public Health Scotland in 2025, represents the most recent and most explicitly well-being-oriented statement of Scotland's public health strategy (112).

The Framework is structured around five prevention drivers: social and economic factors; places and communities; enabling healthy living; equitable health and care; and a prevention-focused system as the overarching driver. It explicitly recognizes that approximately 80% of health outcomes are determined by factors outside the health and care system – what it terms the “building blocks” of health – and identifies well-being economy creation, CWB and proportionate universalism as approaches with the potential to improve population health (115).

The health challenge: childhood health inequalities

As described in the section on contemporary and future challenges, Scotland faces some of the most acute population health issues in western Europe, with the lowest life expectancy in the region (16), wide deprivation-linked inequalities and mortality improvements that have stalled since 2012. This section examines one dimension in more depth: the childhood health inequality gradient.

Compared with children in Scotland's least deprived areas, children in the most deprived areas are (113):

- 10 times more likely to be exposed to tobacco smoke during pregnancy;
- three times more likely to have developmental concerns as toddlers;
- twice as likely to be obese at school entry;
- twice as likely to be born with low birthweight; and
- three times more likely to die in their first year of life.

These inequalities are shaped by structural factors, such as poverty, housing conditions, employment precarity, food insecurity and environmental factors, and are transmitted across generations. Early-life inequalities translate into long-term macroeconomic effects, reducing educational attainment, labour market participation and lifetime earnings while increasing demand on public services. An economic evaluation of the Mother and Child Recovery Houses operated by Aberlour Children's Charity – which provide residential and community-based support for mothers with substance use issues – showed a return of £10 in future value for every £1 invested (113). The Royal College of Paediatrics and Child Health has recommended expanding the Scottish Child Payment to £30–40 per week and rolling out free school meals to all primary pupils (113).

Health institutions as anchor economic actors

As described in the section on CWB, anchor institutions are large, place-based organizations whose economic weight can be leveraged to generate local wealth and well-being. In Scotland, the positioning of health institutions as anchor economic actors represents one of the most developed expressions of this approach. This section focuses specifically on the role of NHS Boards as anchor economic institutions.

Under the Community Wealth Building (Scotland) Bill, health boards are listed as “relevant public bodies” required to develop and implement CWB action plans in partnership with local authorities (58). All 14 territorial NHS Health Boards have produced Anchor Strategic Plans, and the Population Health Framework explicitly states that NHS bodies should understand themselves as being fundamentally about prevention, not just treatment (112). As recognized in Public Health Scotland’s Health Impact Assessment, CWB should be understood not only as a local economic development strategy but as a structural public health intervention that addresses the root determinants of health inequality (53,114).

Scotland’s NHS employs approximately 160 000 people and is one of the largest purchasers of goods and services in the country. By redirecting procurement towards local and socially responsible supply chains, paying real living wages, and using land and property assets for community benefit, health institutions can directly influence the upstream determinants of population health. Emerging evidence supports this approach.

The CWB programme in Preston, England – led by Preston City Council in partnership with major local anchor institutions including Lancashire County Council, the University of Central Lancashire, Lancashire Teaching Hospitals NHS Foundation Trust, Lancashire Constabulary and housing associations – found that in the four years following adoption, the city experienced reductions in antidepressant prescribing and the prevalence of depression, a 9% improvement in life satisfaction, and an 11% increase in median wages, relative to

expected trends (115). The authors caution that these improved health outcomes cannot be entirely attributed to the CWB programme, but the findings suggest meaningful associations between anchor institution strategies and population health.

The economic case: failure demand and the logic of prevention

A central argument within Scotland’s well-being economy discourse is that failure demand – spending required to respond to harms generated by the structure of the economy itself – can only be durably reduced by addressing its root causes. The concept, adapted from manufacturing systems theory and applied to public services in the Christie Commission report, points not towards greater investment in social and health interventions, but toward an economy restructured to redistribute wealth fairly and avoid growth that damages people or planet – thereby reducing the need for those interventions in the first place (43,116).

Failure demand describes the spending required when governments react to harms created by the design of the economic system itself. As WEAll’s failure demand report documents, this cycle is self-reinforcing: growth is required to generate the taxes to fix the damage that the pursuit of growth has caused (116).

An internationally recognized example of the prevention logic in practice is the Scottish Violence Reduction Unit, established in 2005. The Unit pioneered a public health approach to violence prevention, treating violence as a symptom of adverse social and economic conditions rather than primarily a criminal justice matter. Its model has been replicated across the United Kingdom and beyond, and it stands as a concrete illustration of the cost-saving and well-being gains that upstream investment can deliver (117).

For working households on low pay or in precarious work in Scotland, the Government provided over £596 million in 2014/2015, rising to over £890 million in 2016/2017 – in welfare payments, free school meals and work-related ill-health costs (119). The total cost of temporary accommodation provision in Scotland exceeds £111 million annually, while the

total excess health-care cost for people who have ever experienced homelessness is estimated at over £900 million (116).

This logic of upstream investment in social determinants directly addresses the dynamics of failure demand; upstream investment in the determinants of health therefore functions as a fiscal strategy that reduces long-term demand on the health, welfare and justice systems (43,116).

The Promise – Scotland’s commitment to transforming the care system, described in more detail in Box 5 – provides a powerful illustration of this fiscal logic. Analysis found that Scotland annually invests approximately £942 million in delivering the current care system, while spending an additional £875 million on services required because the system has failed care-experienced people, and losing approximately £732 million in foregone income tax and national insurance contributions due to care-experienced people’s lower lifetime incomes (119). This pattern – in which the costs of system failure exceed the costs of the system itself – illustrates failure demand at the sectoral level. The well-being economy argument goes further: this dynamic is reproduced wherever the economy generates harm that public services are then required to address, and durable reduction therefore requires not better services alone, but an economy structured to generate less harm in the first place.

Co-benefits with public health and the health sector

Taken together, these domains demonstrate that Scotland’s well-being economy approach generates mutually reinforcing co-benefits across health, equity, environmental sustainability and economic resilience, producing virtuous cycles of improved well-being and long-term fiscal stability (119).

Table 2 summarizes how the well-being economy policy domains produce co-benefits for population health.

Table 2. Summary of co-benefits with (public) health identified in the Scottish approach

Well-being economy domain	Health co-benefits
CWB	Public Health Scotland's Health Impact Assessment recognizes CWB as a public health intervention. Anchor institutions (including the NHS) provide fair employment. Local procurement supports income security. CWB has positive impacts on poverty, working conditions and community cohesion.
Child poverty reduction	The Scottish Child Payment addresses material deprivation in early years. Expanded childcare and free school meals reduce the childhood health inequality gradient.
Land reform	Diversified ownership improves housing affordability, access to green space and food systems – all social determinants of health.
Climate-focused energy transition	Scotland's just transition and climate strategies generate direct public health co-benefits – including improved air quality, reduced fuel poverty, healthier housing and more active transport.
Fair work	The real living wage reduces in-work poverty and associated health burden, addressing employment conditions that generate failure demand – while simultaneously improving mental health, reducing stress-related illness and strengthening the economic security that underpins well-being across the life course.
Lived experience and participatory governance	Participatory governance mechanisms – including the Poverty Alliance and Poverty Truth Commissions – ensure health-relevant policies are shaped by those most affected, improving policy fit directly and building the agency and social connection that are themselves determinants of health.
Place-based approaches	CPPs integrate health and well-being priorities within Local Outcomes Improvement Plans and Locality Plans. The Tackling Poverty Locally Directory catalogues community-based anti-poverty innovations across Scotland. CWB in North Ayrshire and other localities embeds health equity within local economic development.

Source: authors.

Conclusion: Scotland's well-being economy in context

Scotland's path towards becoming a well-being economy has been shaped by a distinctive combination of structural pressures, political culture and institutional innovation. The country offers one of the richest and most honest records of what it means to pursue a well-being economy within a constrained governance setting. This concluding section draws together the factors that have enabled progress, the structural barriers that have limited it, and the lessons that Scotland's experience holds for countries at different stages of this transition.

Enablers of Scotland's approach

A strong national ambition to build a fairer society has been the most fundamental enabling condition. Scotland has sustained a broad consensus that inequality and poverty are not inevitable and that their structural drivers must be actively addressed. This vision is anchored in legislation such as the Child Poverty (Scotland) Act 2017, which created statutory targets and direct accountability for a dimension that is closely linked to Scotland's well-being ambition. The continuity of child poverty as the central priority reflects the depth of this consensus.

This consensus has operated in both directions. At the national level, it has provided a coherent framework and direction for public policy. From the bottom up, it has created political space for civil society to play a genuine scrutinizing role – and for people with lived experience of disadvantage to shape the policies that affect them. Poverty Truth Commissions, the Poverty and Inequality Commission's experts-by-experience panel and the participatory processes underpinning community planning are not marginal features of Scottish governance; they represent a systematic attempt to embed democratic legitimacy in the design and evaluation of public policy.

Scotland's institutional architecture has also been a significant enabler. CPPs, Local Outcomes Improvement Plans and the anchor institution model illustrate how local priorities can be set with genuine multi-agency involvement. Public Health Scotland's dual accountability – to both the Scottish Government and COSLA – positions Scotland's national public health body as a cross-sector bridge, enabling it to act as a convenor of well-being economy work across the health, housing, education and economic development sectors.

Scotland's founding membership of the WEGo network since 2018 has reinforced these domestic developments. Participation in WEGo has provided a peer-learning environment, strengthened the domestic political legitimacy of the well-being economy agenda, and cemented Scotland's role as an international convener and – alongside Iceland – one of the founding advocates for health-centred economic reform in the WHO European Region.

Persistent barriers and unresolved tensions

Scotland's well-being economy architecture rests on a foundation of soft governance – a system of national outcomes, advisory bodies and “have regard” duties, in which relevant actors are expected to align their behaviour with shared goals, but are rarely held formally accountable when they do not. The NPF sets ambitious national outcomes but imposes no binding delivery obligations on public bodies and no sanctions if there is no improvement. The result is a persistent implementation gap: outcomes are aspirational rather than operational, alignment with the NPF is sought rather than required and accountability for delivery remains diffuse. Parliamentary scrutiny has been important in identifying this gap but has not yet produced structural remedies. The proposed Wellbeing and Sustainable Development Bill – which would have established a Future Generations Commissioner and stronger statutory duties – failed to pass Parliament in 2026 despite significant public support, leaving the architecture of soft governance intact.

Moving towards a well-being economy requires a shift away from dominant economic paradigms, yet economic growth – typically measured through GDP – has again recently occupied a central position in Scottish government policy and discourse. This emphasis can create tensions with wider well-being objectives, which place greater weight on social, environmental and distributional outcomes. Resolving these competing priorities remains an ongoing challenge, and one that Scotland has not yet fully addressed. Scotland's journey towards a well-being economy is an account of uneven progress: the well-being economy narrative – which gained significant momentum in the 2010s – has experienced reduced political traction in recent years, with increased emphasis on GDP growth and economic competitiveness.

This is compounded by the absence of prevention finance. Scotland's prevention logic is well-developed: investment in upstream social determinants reduces "failure demand" – the cost of public services required to respond to harms that could have been avoided – and yields long-term fiscal returns. But the fiscal architecture consistently prioritizes reactive spending over upstream investment. The structural tension between the long time-horizons of preventative returns and the short cycles of political and budgetary accountability has not been resolved. Scotland has not yet developed the fiscal mechanisms – prevention funds, multi-year outcome budgets or shared savings arrangements – needed to make prevention economically rational for individual public bodies.

The monitoring infrastructure has also lagged behind the ambition. Despite the NPF's 81 national indicators, as of early 2024, 17 lacked sufficient data. It is important to note that these indicators are not targets – they track whether outcomes are improving or worsening over time, rather than measuring progress against specific thresholds. The data that exist are often insufficiently disaggregated to reveal the equity dimensions that Scotland's agenda is designed to address. The Wellbeing Economy Monitor (2025) provides a more integrated picture, but investment in the underlying data systems has not kept pace with Scotland's stated commitment to evidence-led policy-making.

Underpinning all of these tensions is Scotland's constitutional position. As a devolved nation, Scotland holds significant responsibilities for social policy but lacks the fiscal and macroeconomic levers – monetary policy, the bulk of social security, trade and migration – that would allow it to address the structural drivers of poor health and inequality at their root. Well-being economy ambitions of the scale Scotland has articulated require public investment and redistributive capacity that the current devolved fiscal settlement cannot fully support. The gap between aspiration and available resource – described by one expert as "wanting to be like Scandinavia with United Kingdom-style budgeting" – is the structural constraint against which all of Scotland's achievements must be understood.

Scotland in comparative perspective

Compared with Wales, Scotland's governance model shares important features but differs in its legal architecture. Both nations have developed indicator-based outcomes frameworks, both are founding members of WEGo, and both face equivalent constitutional constraints as devolved nations operating within the United Kingdom's tax and benefits system. However, Wales has gone further in creating a statutory duty requiring all public bodies to act in accordance with sustainable development principles, enforced by a dedicated Future Generations Commissioner with powers to review and challenge public bodies (119,120).

The Welsh framework is also supported by formal policy tools, including statutory requirements for health impact assessment, which help ensure that health and well-being considerations are systematically integrated into policy decisions across sectors, including economic policy (121).

Scotland's equivalent governance sits closer to the "soft" end of the spectrum, dependent on political will and institutional culture rather than enforceable obligations (90). Wales's experience suggests that legislative embedding with independent oversight provides more durable protection against short-termism and political cycle risk – a lesson that remains directly relevant to Scotland as it continues to develop its well-being economy architecture.



From Iceland, Scotland can draw lessons in indicator co-design, political framing and the governance of well-being transitions. Iceland's 2019 Well-being Indicators Framework – developed through broad public consultation and embedded within the five-year fiscal plan – demonstrates how co-designed metrics can build shared public ownership of national goals and enable cross-ministry accountability (122,123). Iceland's decision to locate coordination of well-being, just transition and sustainable development policy within the Prime Minister's Office has ensured a degree of horizontal policy coherence that Scotland's more distributed governance has not yet fully achieved. Iceland's smaller scale allows faster institutional iteration; nonetheless, the underlying principles – embedding well-being into fiscal planning cycles, building genuine public ownership of indicators and using moments of crisis to build momentum for structural reform – are directly applicable in Scotland's context.

Scotland, in turn, offers something that neither the Iceland or Wales deep dives could: an account of what happens when a well-being economy agenda matures and confronts the distance between soft governance and structural delivery. Its honest reckoning with that distance is itself a transferable lesson. The implementation challenges and conflicts between long-term societal goals that Scotland has documented are likely to be faced by any country that moves beyond aspirational frameworks towards genuine accountability for well-being outcomes. In this respect, Scotland's candour about its own limits is as instructive as its achievements.

Transferable lessons for other countries

Scotland's experience points to several transferable lessons for countries embarking on or advancing a well-being economy transition.

First, a sustained, multi-stakeholder national conversation is foundational. Scotland's Citizens' Assembly processes, participatory budgeting experiments and other deliberative processes demonstrate that public ownership of economic goals requires genuine co-production rather than consultation alone. The legitimacy of Scotland's well-being agenda has been built over time, across sectors and communities – and this accumulated legitimacy has provided resilience against political cycle risk.

Second, linking the well-being economy agenda to the lived experience of disadvantage gives the concept material substance and political tractability. Scotland's child poverty legislation, CWB programme and place-based investment approach are not abstract commitments: they translate well-being principles into concrete, measurable and politically accountable interventions. Countries seeking to operationalize well-being frameworks can learn from Scotland's approach of anchoring the agenda in enforceable duties and direct cash transfers rather than aspirational goals alone.

Third, health bodies have an active role to play as anchor partners in the well-being economy, not merely as beneficiaries of it. Public Health Scotland's model – dual accountability, health impact assessment of economic policies and direct participation in CWB governance – also provides a replicable template for how public health bodies can become agents of economic transformation.

Fourth, soft governance is a valuable foundation but an insufficient endpoint. Scotland's experience demonstrates that national outcomes frameworks and voluntary alignment can create a durable shared vision and build the institutional capacity needed for long-term change. But the implementation gap that Scotland has openly acknowledged – and that Wales has partially addressed through statutory duties – suggests that well-being economy ambitions eventually require governance mechanisms that reward collaboration, hold public bodies accountable and protect long-term investment against short-term budget pressures. Countries designing outcomes-based frameworks should plan for this transition from the outset, rather than treating soft governance as a permanent solution.

Fifth, clarity about the relationship between well-being ambitions and fiscal capacity is essential. Scotland's experience reveals that the scale of a well-being agenda must be matched by the fiscal and macroeconomic tools available to deliver it. Subnational governments and devolved regions with limited fiscal autonomy – the most common condition for countries beginning this transition – should be clear-eyed about what those constraints mean for the pace and depth of change, and should invest in making the strongest possible case for the fiscal reforms needed to close the gap between aspiration and resources.

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